

Kingdom of Saudi Arabia · Madinah Region

Real Estate Market Report Madinah

Strategic analysis and market dynamics for 2026

Madinah's office, residential, retail, knowledge-economy and hospitality sectors, with regulation, transaction data and opportunity maps.

Offices

Residential

Retail

Hospitality

Regulation

Transactions

Maps

Nine themes covering the Madinah real estate market

From macro indicators to executable opportunities, in the order an investor reads the market.

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Takamol View: Opportunity Summary

Ten opportunities · Investor matrix · Services · Real Forsa & Real Invest

How this report was built and what sets it apart

Data sources

Real Estate Registry and Ministry of Justice (transactions), GASTAT, the Real Estate General Authority (REGA), Madinah Region Development Authority, Madinah Municipality, Ministry of Tourism, Madinah Chamber, NHC and developer announcements (Rua Al Madinah, KEC), benchmarked against JLL, Knight Frank and CBRE.

Analytical approach

2026 values are estimated from transaction data and field surveys to mid-year and compared year on year for each indicator. Each sector is then linked to its drivers (visitors and pilgrims, giga-projects, the airport and Haramain Rail, KEC) to derive actionable recommendations for developers and investors.

What makes a Takamol report different

Analysis at zone, corridor and district level rather than the city alone; genuine geographic maps of Madinah districts; and figures linked to automated feasibility studies in Real Invest and curated opportunities in Real Forsa, so the report is a decision tool, not merely a market read.

Scope: the city of Madinah and its urban area (Central Area, east, south and west, new suburbs) with references to Madinah Region · Reference period: January – August 2026.

Units and comparison: values in Saudi riyals (SAR) unless stated otherwise · annual rates compared with the same period of 2025 (YoY) · estimates are marked "about" or "circa".

01

Executive Summary & Key Indicators

Demographics and purchasing power · Pilgrim Experience Programme
and capital flows · Giga-project map · International milestones ·
Business confidence and construction costs · Return–risk matrix



Macro indicators: Madinah as a religious, tourism and hospitality hub

2.137M

residents in Madinah Region — 1.444 million in the city

610

licensed hospitality facilities with over 76.6k rooms

79.3%

hotel occupancy in the city — December 2024

7.9%

unemployment rate — a labour market absorbing incoming talent

Centre of gravity for religious tourism and hospitality

Madinah is one of the Kingdom's foremost centres of religious tourism and hospitality, drawing on its sacred status and the Prophet's Mosque, together with an integrated access system via Prince Mohammad bin Abdulaziz International Airport and the Haramain High-Speed Rail. Sustained growth in visitors and Umrah pilgrims drives demand for hotels, serviced apartments, retail, F&B and support services.

The region recorded over 10.4 million tourists in H1 2025, while licensed hospitality facilities reached about 610 in 2025 with more than 76.6k rooms.

The supply–demand gap

Demand is rising for modern hospitality assets — hotels across all grades, serviced apartments and mixed-use schemes combining hospitality, retail, dining and leisure.

Madinah Chamber reported in June 2026 that hotels lead the fastest-growing real estate segments, with continued openings in hotels, serviced apartments, mixed-use schemes, warehousing and logistics. Hotel occupancy reached 79.3% in December 2024 and stayed strong through Q1 2026.

Implication: a market led by the visitor, not the resident — demand concentrates near the Haram and along access corridors, and any asset that flexes between hospitality and serviced living earns a premium.

Demographics, purchasing power and income patterns

4.1%

annual population growth — among the highest of major cities

482K

workers — an active economic and labour base

2.14M

residents — a large and growing regional population

1.444M

residents in Madinah city — the core of local demand

Target segments and their property behaviour

Young Saudi families: family housing and long-term settlement; preference for modern apartments and integrated communities in expansion districts (Al Aziziyah, Shuran, Al Ranuna) and Al Dar Suburb.

Visitors and Umrah pilgrims: short and medium stays near the Haram; strong demand for hotels, serviced apartments and furnished units in the Central Area and its corridors.

Professionals and expatriates: health, education, hospitality and services staff; demand for modern apartments on medium and long leases near KEC and King Abdulaziz Road.

Individual investors: seeking recurring income from visitor flows; investing in apartments, serviced units and income-producing assets.

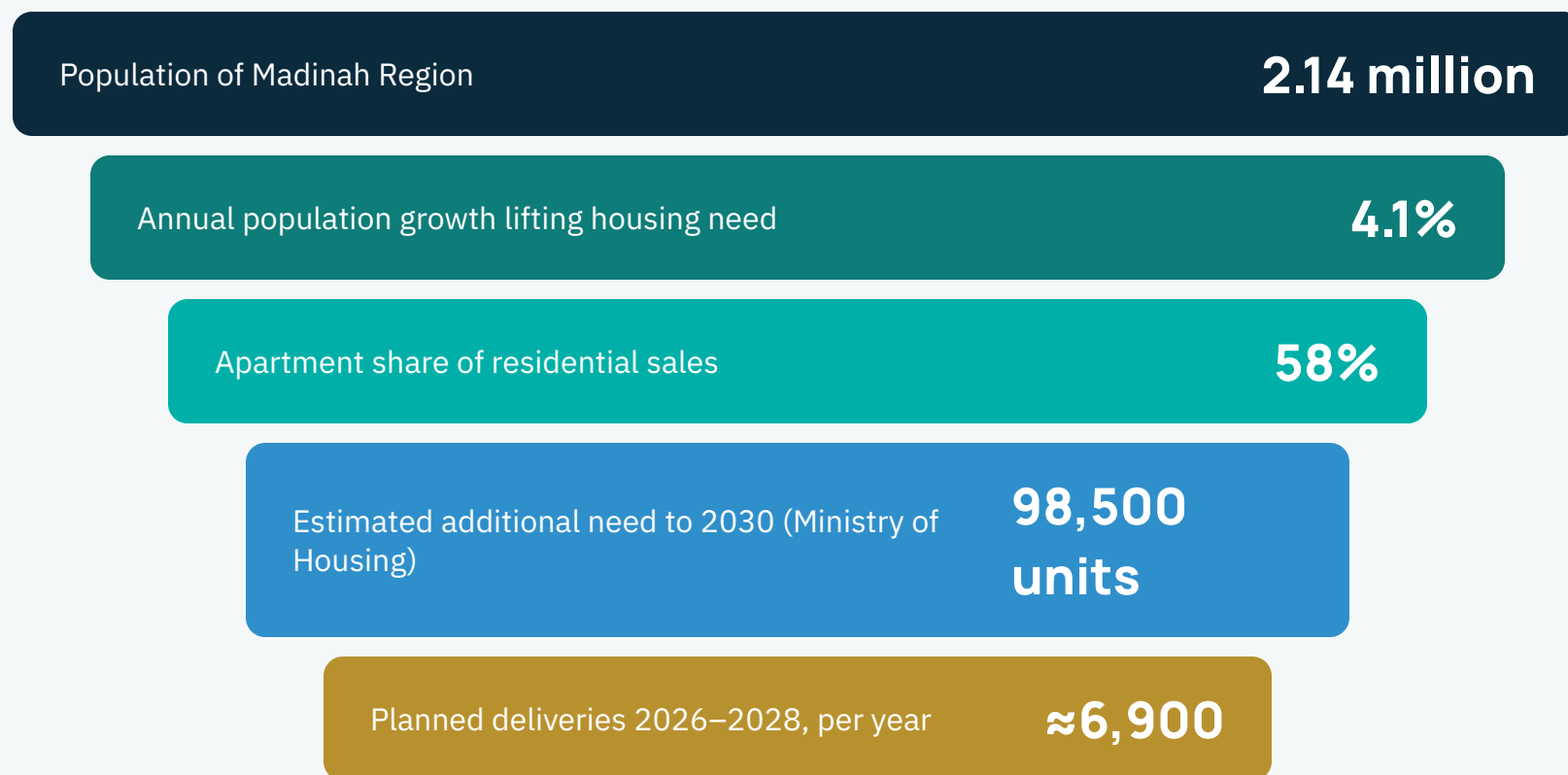
Takamol reading

A population growing 4.1% a year and a workforce above 480k place Madinah among the fastest-growing housing markets, while 21 million visitors a year add a seasonal demand layer few Saudi cities enjoy.

Residential demand has shifted to apartments (58% of deals) with record growth in deal value (+49%), explaining resilient apartment prices (+2.5%) against flat villas (-0.5%).

Product window: 2–3 bedroom dual-key apartments suited to both seasonal letting and family living — the heart of demand in Madinah.

Demand funnel: from population base to the housing unit required



Reading the funnel

A population growing faster than the national average converts into structural demand for modern apartments and townhouses in the urban suburbs, reinforced by seasonal investor demand from visitors and the new rules on ownership by non-Saudi Muslims.

Planned deliveries for 2026–2028 range from 19,800 to 21,300 units (about 6,900 a year), while additional need to 2030 is estimated at 98,500 units (about 20k a year) — current supply covers roughly a third of need, which explains the 49% rise in deal value.

Estimated annual gap: 12 – 13k units

Source: GASTAT, Ministry of Housing, Real Estate Registry, developer announcements (NHC, Rua Al Madinah, KEC) and Takamol analysis. The gap is an estimate.

Pilgrim Experience Programme, capital flows and FDI

21M

visitors received by Madinah Region
in 2025

SAR 52bn

tourism spending in the region, 2025

SAR 60.4bn

FDI stock at end-2024

213

development projects under way
worth over SAR 210bn

Tourism and hospitality

Madinah Region received over 21 million visitors in 2025 and tourism spending exceeded SAR 52bn, while capacity rose to more than 610 hospitality facilities and 76k hotel rooms — confirming the strength of investment demand in hospitality.

Apartment prices rose about 2.5% to an average of SAR 3,835/sqm, and residential demand jumped +38% in deal count and +49% in value to about SAR 3.4bn.

Strength of tourism and property investment

Madinah's appeal rests on its sacred status and sustained growth in visitors and pilgrims, alongside major development schemes in hospitality, housing, retail and mixed use. Some 213 development projects worth over SAR 210bn are under way, expected to create more than 119k future jobs.

The region has seen strong FDI growth: the stock rose from about SAR 23.7bn in 2020 to SAR 60.4bn by end-2024, with new inflows of about SAR 7.7bn during 2024.

Implication: a 2.5× rise in FDI stock in four years and 119k jobs in the pipeline mean institutional demand for serviced living and modern offices alongside hospitality.

Giga-project map – Madinah 2026

1 Rua Al Madinah (Haram surroundings)
East of the Prophet's Mosque · 47k hotel rooms planned by 2030 · mixed-use urban and hospitality development

2 Central Area and the Prophet's Mosque
City core · 20.6k existing hotel rooms + 2.1k short-stay rooms · hotels, serviced apartments and retail

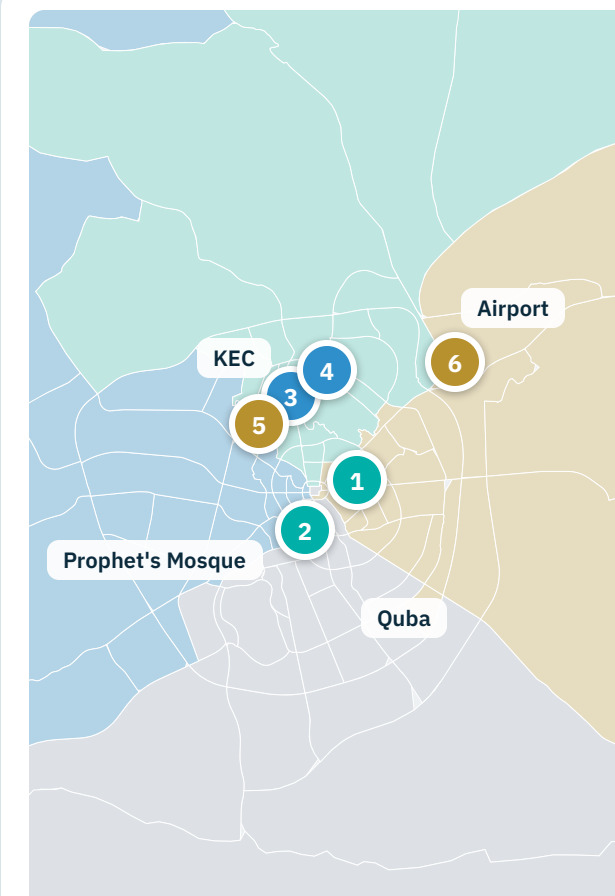
3 Knowledge Economic City (KEC)
North-west · business and knowledge hub · Multaqa Al Madinah and Al Aliya · 1.18 million sqm of flagship project space

4 Islamic World Avenue & Multaqa
Cultural and commercial destination · Multaqa phase one 72k sqm GLA · total leasable area about 122k sqm

5 Haramain High-Speed Rail station
Transport node linking Madinah to Makkah and Jeddah · 72% hotel occupancy driven by rail flows · catalyst for transit-led development

6 Airport expansion (PMIA)
Prince Mohammad bin Abdulaziz International Airport · 18 million passengers by end-2027 · lever for visitors and tourism investment

Investment implication: two axes govern the market — the Haram area (Rua Al Madinah, Downtown) for hospitality and premium retail, and the north-west (KEC, Haramain Rail, King Abdulaziz Road) for business and modern housing.



North: Sultanah, KEC West: Al Difa East: Airport
South: Quba, Al Dar

Official district boundaries; project locations approximate 09

International and investment milestones as market levers

Vision 2030 — Pilgrim Experience and Quality of Life

Prince Mohammad bin Abdulaziz Airport expansion: capacity of 18 million passengers by end-2027 to serve larger visitor and pilgrim volumes.

Hospitality and property development: expansion in hotels, serviced apartments and mixed-use schemes; 47k hotel rooms planned within Rua Al Madinah alongside 20.6k existing rooms.

Visitor experience and identity: development of the city core and Central Area, linking historic and cultural sites, and better connectivity between the Prophet's Mosque, the airport and Haramain Rail.

FIFA World Cup 2034 — a supporting city

Team base camps

Madinah participates as a supporting city, proposed mainly for team base camps, training and support facilities

Infrastructure and transport

Upgrades to infrastructure, transport and hospitality, and completion of the bus network (639 km · 455 stops · 15 routes)

Hotels and serviced apartments

Higher demand for hospitality, retail and F&B as domestic and international travel rises during the tournament

Religious and cultural standing

Showcasing Madinah's religious, historical and cultural standing to visitors worldwide and attracting investment

18M

passengers — target airport capacity by end-2027

639 km

Madinah Buses routes · 455 stops · 15 routes linking Haram, airport and rail

47K

hotel rooms planned within Rua Al Madinah by 2030

22.7K

existing rooms: 20.6k hotel + 2.1k short-stay

Madinah roadmap 2026–2034: milestones that reprice the market

Each delivery milestone adds quality supply or opens a new demand wave — its timing defines the investor's entry window.

2026

Multaqa Al Madinah opens (72k sqm GLA) · foreign-ownership rules activated · Downtown project starts with Cenomi Centers

2028

2026–2028 delivery wave completes: about 19.8–21.3k units · Multaqa 2 (31.1k sqm NLA) and Knowledge Gardens (80k sqm GFA)

2030

Vision 2030 targets: 47k hotel rooms in Rua Al Madinah · 98,500 additional homes lifting stock to 549,200 units

2027

Airport expansion to 18m passengers completed · Al Dar Suburb phase one (NHC) delivered · modern office growth in KEC

2028–2030

Residential planning phase: +36,200 units · Rua Al Madinah and Dar Al Hijra +12,000 units · Downtown completes 2029

2034

World Cup: training camps and support facilities · peak demand for hospitality, serviced apartments and leisure retail

Business confidence, construction costs and building permits

213

development projects under way worth SAR 210bn — growing urban and investment momentum

+2.3%

annual rise in the Kingdom's construction cost index to July 2026 — national indicator

47K

hospitality keys targeted in Rua Al Madinah by 2030 — a scale that makes industrialised building essential

Average construction and fit-out cost

2,000–3,200 SAR / sqm

Economy		~2,000
Mid-range		~2,500
Premium		3,200+

A strong, relatively stable development environment: Madinah benefits from expanding demand for hotel, residential, commercial and mixed-use schemes, supported by religious tourism growth and Vision 2030 projects, while material and labour cost growth must be priced into development appraisals. Cost ranges are Takamol estimates.

Modern methods of construction (MMC) change project economics

30–35%

shorter build time with precast and off-site construction

18 → 8–10

months — residential delivery time with modular systems

-25%

cooling and operating costs with advanced insulation and the Saudi Building Code

22–28%

target gross development margin — Takamol estimate

Growing localisation of modern construction: wider use of precast, MMC and off-site solutions to speed delivery of major hotel and residential schemes. Rua Al Madinah, targeting 47k hospitality keys by 2030, makes industrialised and precast building especially valuable for speed of delivery and consistent quality.

Occupancy gauges: hospitality, retail and industry run at high capacity

**79.3%**

Hotels (December 2024)

**74.7%**Hotels (2026 annual
average)**94-97%**

Major malls

**98%**

Open-air centres

**82%**

Industrial land

**58%**

Apartment share of deals

What do the gauges mean?

A hospitality market near full capacity in season (about 100% in Ramadan and Hajj) with a 74.7% annual average — the seasonal gap, not demand, is the challenge. In retail, major malls run at 94–97% (Al Noor Mall 97.2%, Al Rashid Mega Mall 93.8%) with waiting lists of international brands in open-air centres (98%).

Where is the opportunity?

The gap between annual hotel occupancy (74.7%) and seasonal peaks (100%) rewards flexible assets that switch between hotel and serviced living, while 82% industrial land occupancy across 25 million sqm points to real demand for warehouses and logistics facilities serving hospitality and retail.

Return vs risk matrix: where each sector stands in Madinah 2026

Hotels and hotel towers (net) **10.0–13.5%**

Serviced apartments and seasonal letting **8.5–11.0%**

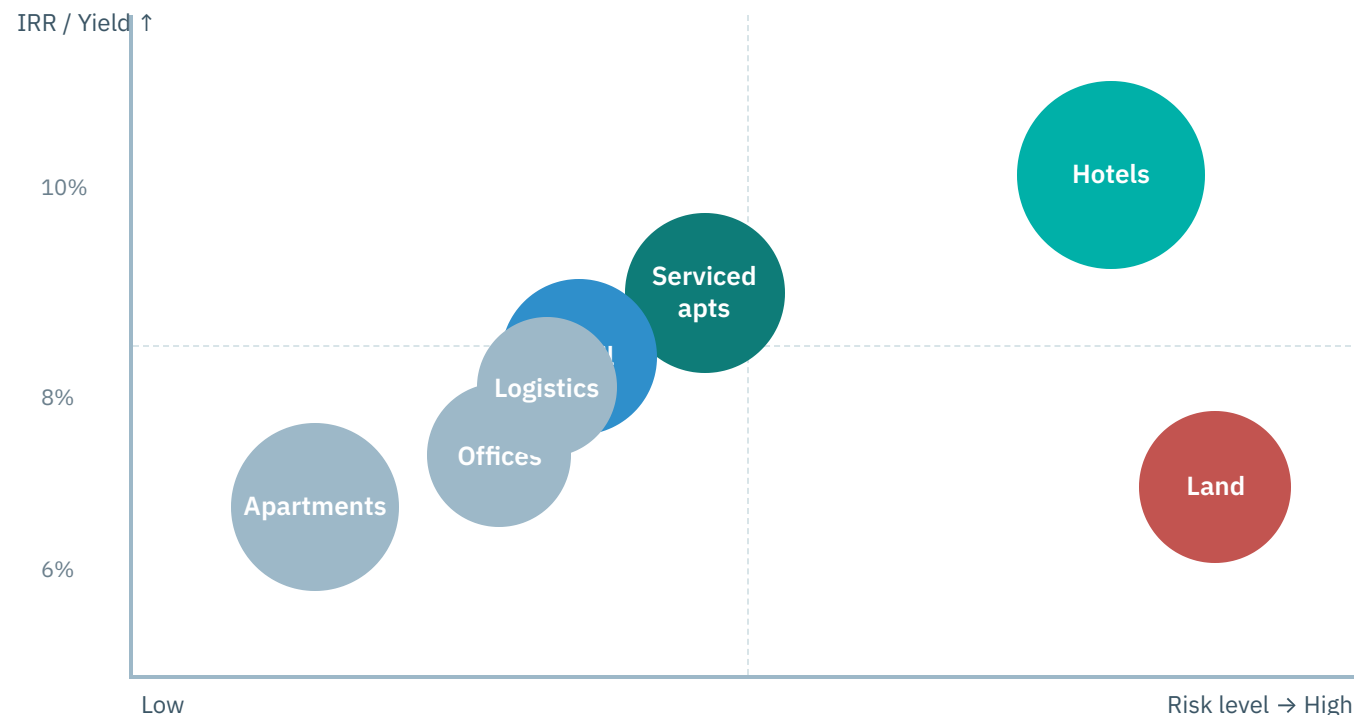
Shopping centres and retail **7.5–8.5%**

Warehousing and logistics **7.5–8.5%**

Modern offices (Grade A) **7.0–8.0%**

Residential apartments (long let) **6.0–7.5%**

Raw land **Capital / long cycle**



Bubble size reflects market depth (deal count and supply) · positioning is indicative, drawn from this report's indicators · hospitality in all grades combines the highest return and occupancy in Madinah, with the highest sensitivity to seasonality.

02

Office & Commercial Space

Stock and occupancy · Supply and demand dynamics · Rent map by corridor · Corporate demand segments · Transport connectivity · Opportunities and outlook



Office dashboard: an emerging market led by KEC

31.1K sqm

commercial/office NLA in Multaqa Al Madinah 2

80K sqm

commercial and office GFA in Knowledge Gardens

≈850

SAR/sqm/yr — average modern office rent

3–5

years — typical lease term for modern offices

Occupancy by grade

Market dynamics: an emerging market less mature than Riyadh, Jeddah and Dammam, with limited published institutional data on occupancy and rents. Drivers: project management, hospitality and tourism, Hajj and Umrah services, consulting, health and education. Occupancy by grade is a Takamol estimate.

Premium offices (A)		~98%
Mid-range offices (B)		~86%
Traditional offices (C)		~75%

Takamol reading

The market is gradually moving to newer, more flexible and better-fitted buildings, especially around KEC, the airport road and the Second Ring Road, with strong occupancy in modern offices driven by building quality, location and specification.

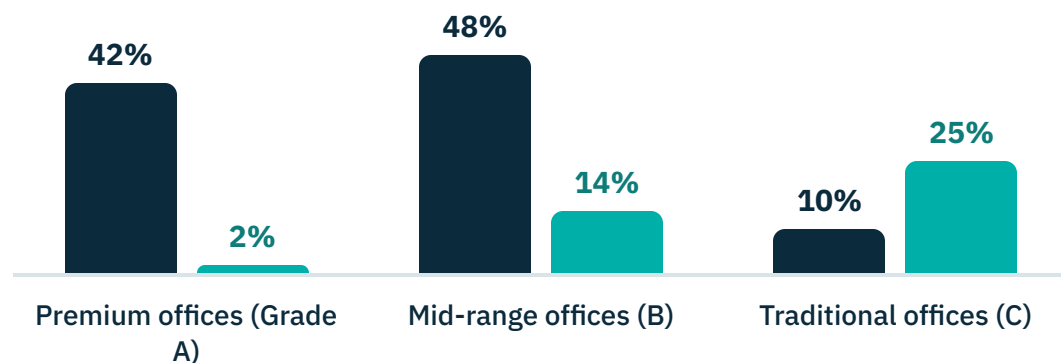
Top rents sit on King Abdulaziz Road and KEC (Grade A about SAR 1,000/sqm/yr, +6%), while secondary corridors and Al Hijra Road record about SAR 750/sqm for Grade A.

Entry window: until Multaqa 2 and Knowledge Gardens deliver (2027–2028), existing modern buildings on King Abdulaziz Road hold pricing power with vacancy of no more than 2–3%.

Supply and demand dynamics and future space volume

Share of supply vs vacancy rate

■ Share of supply ■ Vacancy rate



Takamol estimates from the 2026 market survey · vacancy concentrates in traditional buildings while premium space is close to full.

31.1K sqm

NLA Multaqa Al Madinah 2 — key supply 2027–2028

80K sqm

GFA Knowledge Gardens, commercial and office

1.18M sqm

flagship project space in KEC

≈850

SAR/sqm/yr — modern offices

Outlook 2026–2028

Future supply is led by Knowledge Economic City; the Multaqa 2 and Knowledge Gardens figures combine commercial and office space, and neither the split nor full delivery in 2027–2028 has been confirmed. Net absorption: no reliable published data; demand is described as gradual, oriented to modern offices and driven by project management, hospitality and Hajj and Umrah services, with a shift towards mixed-use assets.

Rent map by zone and corridor

Area / corridor	Grade A	Grade B	Rent level	YoY change
King Abdulaziz Road / KEC	1,000 SAR	700 SAR		+6.0%
King Abdullah Road — Second Ring	950 SAR	650 SAR		+5.5%
Prince Mohammad bin Abdulaziz Road — Al Uraydh	900 SAR	620 SAR		+5.0%
Abu Bakr Al Siddiq Road — Sultanah	850 SAR	600 SAR		+4.5%
Prince Abdulmajeed bin Abdulaziz Road	800 SAR	550 SAR		+4.0%
Al Hijra Road / secondary corridors	750 SAR	500 SAR		+3.5%

Average annual rent in SAR per sqm · bar index relative to the top corridor (King Abdulaziz Road = 100%).

1.3×

Grade A rent spread between King Abdulaziz Road (1,000) and Al Hijra Road (750) — a relatively homogeneous market

Reading the corridors

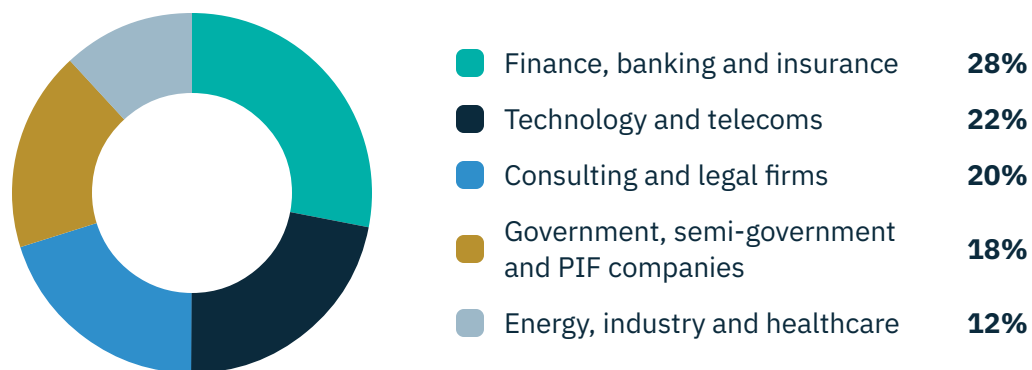
King Abdulaziz Road and KEC: highest demand and growth (+6%) — project management, hospitality and regional headquarters.

Second Ring and Al Uraydh: strong growth of 5–5.5%; modern buildings on main traffic arteries.

Sultanah and Al Hijra Road: a local market for professional services, clinics and branches; quieter growth of 3.5–4.5%.

Corporate demand segments and shifting tenant requirements

Corporate demand for office space in Madinah, 2026



Takamol estimates from the 2026 market survey.

+6%

Demand for newer, more flexible buildings

The office market is gradually shifting to modern, flexible, well-fitted buildings, especially around KEC, the airport road and the Second Ring Road, driven by SMEs and project management firms.

Flex

Flexible offices and co-working

Flexible offices are emerging more clearly: Servcorp offers serviced offices, co-working and hybrid space in Madinah at Abu Auf Plaza and Al Luqmani Business Centre.

What does the corporate tenant in Madinah want?

Ample parking · frontage on a main corridor · flexible floors and 3–5 year leases · proximity to the Haram or to KEC and Haramain Rail · technology-ready fit-out for regional branches.

Transport connectivity: from the Prophet's Mosque to airport and rail

Madinah's projects benefit from the expanding Madinah Buses network of 15 routes and over 455 stops covering about 639 km, directly linking the main districts, the Central Area and the Prophet's Mosque with Prince Mohammad bin Abdulaziz International Airport, the Haramain Rail station and key religious and service sites. With the airport expanding to 18 million passengers, investment locations along access corridors gain further appeal.

639 km

Madinah Buses network · 15 routes

455+

bus stops linking districts to the Haram

18M

passengers — airport capacity by end-2027

72%

hotel occupancy driven by Haramain Rail flows

Impact on offices: integrated transport corridors (King Abdulaziz Road, Haramain Rail, the airport) attract headquarters of project management, hospitality and Hajj and Umrah service firms — drawing the map of future office demand in Madinah.



Investment opportunities, challenges and outlook

1

Rising value of new corridors

Growing appeal of land around KEC, King Abdulaziz Road and Haramain Rail, backed by major mixed-use schemes and integrated transport corridors, lifting office asset values in these zones before new supply completes.

2

Selective rental growth

A widening preference for modern offices and a larger price gap with traditional buildings (1,000 vs 500–700 SAR/sqm), while new supply in KEC adds pressure on older, unrefurbished assets.

3

Pre-leasing and ESG standards

More flexible, sustainable offices and growth in fitted and co-working space, with rising weight on digital infrastructure, operating efficiency and sustainability; pre-leasing lowers development risk and improves financing feasibility.

4

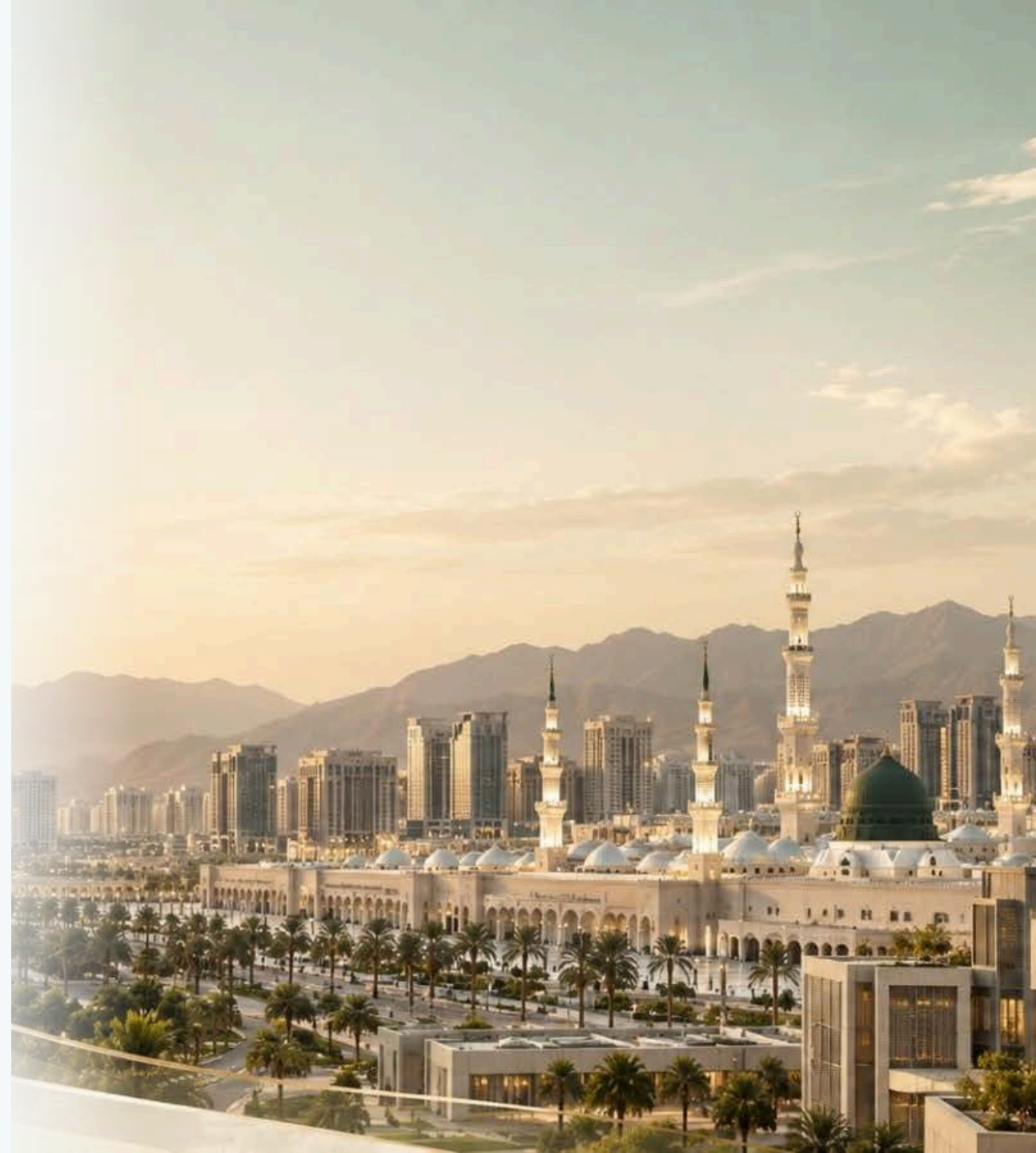
Integrated transport links

15 routes, 455 stops and 639 km link the airport, Haramain Rail, the Central Area and main districts; offices on served transport corridors achieve higher occupancy and longer leases (3–5 years) than buildings away from the network.

03

Residential & Housing Market

Residential dashboard · Future supply and suburban schemes · Price map by zone · Emerging products and construction technology · Investment outlook and yields



Residential dashboard and housing market in Madinah

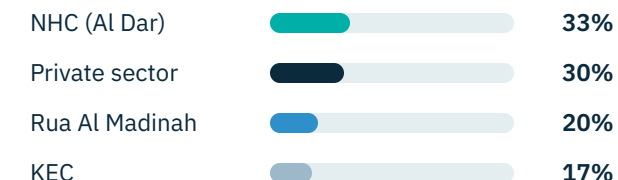
Residential / financial indicator	Current value (2026)	YoY change	Statistical analysis and data sources
Total existing housing stock	458,800 units	+2.1% to +2.8%	Covers the Madinah urban area. About 98,500 new units are expected by 2030, lifting stock to 549,200 units, led by Al Dar Suburb (NHC), KEC and Rua Al Madinah.
Average apartment sale price per sqm	SAR 3,835/sqm	+2.5%	Steady growth reflecting family demand shifting to modern apartments plus seasonal investor demand; the Central Area records SAR 7,500–13,500/sqm against 2,700–3,500 in new suburbs.
Average villa sale price per sqm	SAR 3,500/sqm	-0.5%	Relative stability with a slight correction aligning prices to local purchasing power; demand is moving to townhouses and compact duplexes in Al Dar Suburb and Abyar Ali rather than large villas.
Sales volume and demand mix	SAR 3.4bn	+49%	Madinah recorded the Kingdom's highest growth in deal value (+49%) and count (+38%); apartments take the largest share at about 58% against 42% for villas and land.
City share of residential mortgages	6% – 8%	Stable growth	A leading position among Saudi regions in retail mortgage contracts, supported by housing-support initiatives, the Muyassar programme and off-plan sales licences.

Madinah's residential market is in an exceptional growth phase, with the Kingdom's highest rise in deal value (+49%), driven by resilient local demand and quality investment momentum awaiting activation of the ownership rules for non-Saudi Muslims, alongside rising demand for family apartments and townhouses in modern urban suburbs.

Future supply dynamics and major suburban schemes

Zone / developer	Delivery 2026–2028	Planned 2028–2030	Product types offered
Al Dar Suburb — west and south Madinah (NHC)	6,800 units	+8,200 units	Integrated communities (Nuzul Al Dar, Maknan, Mayan) with villas, townhouses and subsidised ownership apartments.
Knowledge Economic City (KEC) — east Madinah	3,500 units	+6,000 units	Semi-gated communities (Al Aliya, Madinah Gate) with smart apartments, serviced units and a retail promenade linked to the Haramain Rail station.
Rua Al Madinah and Dar Al Hijra (Haram surroundings)	4,000 units	+12,000 units	Mixed-use towers, hospitality apartments and premium serviced residences for professionals, investors and visitors.
Private developers	5,500 – 7,000 units	Ongoing by demand	Ownership buildings, duplexes and small residential compounds developed privately in Al Aziziyah, Shuran and Al Ranuna.
Total supply capacity	19,800 – 21,300 units	+36,200 units	A balanced residential mix combining subsidised ownership for citizens with investment housing and hospitality units.

Share of 2026–2028 deliveries by developer



Need vs supply

Ministry of Housing data confirm that upcoming supply in Madinah rests on adding about 98,500 new units by 2030, lifting total stock to 549,200 units, led by the major NHC suburbs and KEC investments — meeting population growth and supporting price stability.

Price map and geographic comparison across the four zones

Central Area and Haram surroundings

Peak prices and investor demand for hospitality apartments

Bidaah, Al Manakhah, Al Iskan, Bani Khidrah, near the First Ring

Apartments (SAR/sqm)
7,500 – 13,500

Villas (SAR/sqm)
Scarce • towers

East Madinah (Haramain and KEC corridor)

Modern districts on transport and knowledge corridors

King Fahd, Al Uraydh, Ayrah, Baqdu, Haramain station area

Apartments (SAR/sqm)
4,200 – 5,800

Villas (SAR/sqm)
4,800 – 6,500

South and west Madinah (expansion districts)

Main engine of family ownership deal volume

Al Aziziyah, Al Ranuna, Shuran, Al Difa, Al Hijra

Apartments (SAR/sqm)
3,200 – 4,200

Villas (SAR/sqm)
3,600 – 5,200

Suburbs and new giga-projects

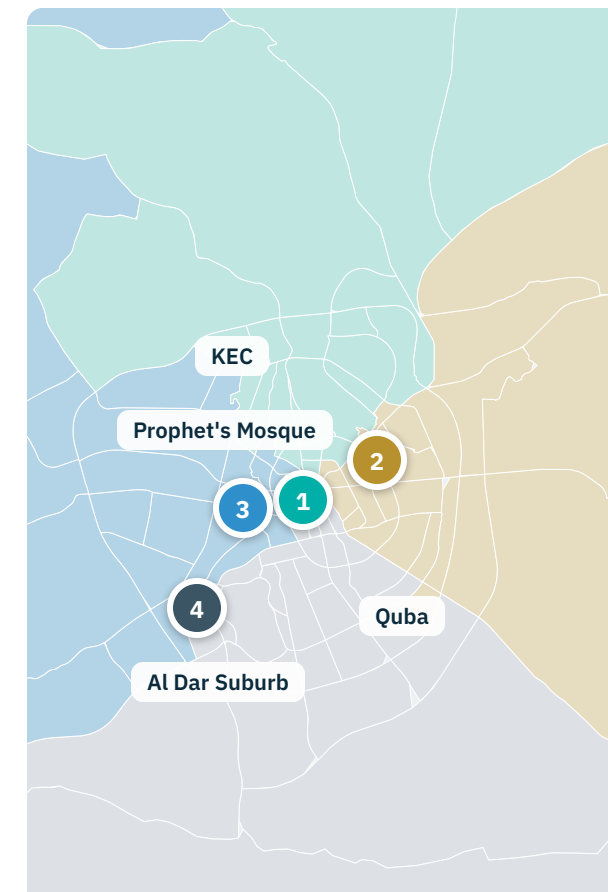
Townhouses and duplexes for housing-support beneficiaries

Al Dar Suburb (NHC), KEC, Abyar Ali

Apartments (SAR/sqm)
2,700 – 3,500

Villas (SAR/sqm)
3,300 – 4,400

Spatial trend: the Central Area and Haram surroundings lead prices on investor demand for hospitality apartments and seasonal letting, while south and west Madinah (Al Aziziyah, Shuran, Al Ranuna) and Al Dar Suburb drive family ownership volume as prices match mortgage-support initiatives. The spread between the highest and lowest zone reaches about 4x.



Actual Madinah district boundaries • coloured by direction from the Prophet's Mosque

Emerging residential products and modern development technology

Rising residential formats in Madinah

- **Hospitality apartments and hybrid investment ownership (Branded & Serviced Living)**

Fully furnished, serviced apartment communities on the corridors leading to the Haram (King Abdulaziz Road and Al Hijra Road), combining family living with licensed seasonal letting to pilgrims, delivering rental yields of 8% to 11%.

- **Integrated smart communities (Integrated Lifestyle Communities)**

Gated and semi-gated communities (such as Al Aliya in KEC and Al Dar Suburb) with shaded walkways, neighbourhood retail, schools and parks, aimed at medical and education professionals and young families.

- **Housing for specialist staff and hospitality operators (Executive & Corporate Living)**

Smart studio, one- and two-bedroom apartments on long-term corporate leases for hotel operators, logistics firms and the Vision projects around the Haram.

Modern methods of construction (MMC)

8–10 months instead of 18

Precast concrete and modular pods

Shorter delivery cycles for residential and major suburban schemes, keeping pace with housing-support deliveries and the Rua Al Madinah towers.

-25% cooling and operating costs

Advanced thermal insulation and energy efficiency

Applying the Saudi Building Code for arid zones and innovative facades inspired by Madinah's heritage (modern mashrabiya) for natural shading and privacy.

Residential investment outlook, challenges and recommendations

Strategic theme	Field reality and analysis (Madinah)	Recommendation for developers and investors
Ownership apartments and seasonal investment	Record demand for 2- and 3-bedroom apartments; buyers want flexible units suited to licensed seasonal letting in Umrah seasons.	Design dual-key or licensed serviced apartments to maximise annual rental return and blend residential with tourism income.
Townhouses and economy duplexes	Villas and duplexes are the first choice for families in the southern and western expansion districts; budgets centre on SAR 950k–1.4m.	Avoid large, high-cost villas; focus on smart townhouses of 250–320 sqm BUA with modern finishes and high thermal insulation.
Foreign-ownership rules (2026)	The new regime allows ownership by non-Saudi Muslims under special controls for the two Holy Cities; many affluent Muslims wish to own.	Set up specialised funds to develop ownership apartments and premium hospitality in approved zones (KEC, Haram area) for Muslim investors.
Off-plan sales (Wafi)	Growing buyer confidence in approved early-sale projects in Madinah as a safe, economical option with flexible payment plans.	Use Wafi licences to self-finance projects through escrow accounts and reduce reliance on bank finance at current interest rates.
Land and development costs	Marked land price rises inside the Second Ring Road; large plots remain outside the Third Ring along Al Hijra and King Abdulaziz Roads.	Enter as sub-developers in NHC suburbs to use ready infrastructure, or pursue JVs with landowners inside the Second Ring Road.

Madinah's residential market is becoming one of the Kingdom's most attractive and stable, combining a solid local demand base backed by housing programmes with historic investment momentum from rising visitor numbers and Muslim ownership rules — making hybrid residential products and smart townhouses the core of developer success.

Takamol reading: where does residential return concentrate? Three models

Illustrative example built on the average prices and rents in this report — not an investment offer; detailed studies are produced via Real Invest.

Model A

Serviced apartment for seasonal letting on King Abdulaziz Road

East Madinah · 95 sqm · dual-key

Estimated price per sqm	SAR 5,200
Unit value	SAR 494,000
Annual rent (seasonal + residential)	SAR 47,000

Gross yield

9.5%

Estimated net 8%–11% · highest yield, with seasonality managed through off-season staff leases

Model B

3-bedroom family apartment in Al Aziziyah / Shuran

South and west Madinah · 140 sqm

Estimated price per sqm	SAR 3,700
Unit value	SAR 518,000
Annual rent	SAR 36,000

Gross yield

6.9%

Estimated net 6%–7.5% · most liquid for families and housing-support beneficiaries

Model C

Townhouse in Al Dar Suburb (NHC)

Suburbs · 250 sqm plot · 280 sqm built

Estimated price per sqm	SAR 3,900
Unit value	SAR 1,090,000
Annual rent	SAR 65,000

Gross yield

6.0%

Estimated net 5.3%–6% · high rental stability and steady family demand within the SAR 950k – 1.4m budget

04

Retail & Shopping Centres

Dashboard · Delivery map of major commercial schemes · Four pillars of demand · Enclosed malls vs open-air centres · Distribution by corridor · Strategic pyramid



Retail market dashboard for Madinah

260K+ sqm

GLA in the main existing and near-opening centres

1,600– 2,000+

SAR/sqm/yr – prime retail rents

94–97%

major mall occupancy · vacancy 3–6%

8.0–8.5%

reference yield for institutional retail assets

Existing leasable space and occupancy

Madinah holds over 260k sqm GLA in its main existing and near-opening centres, with a further pipeline in KEC and Downtown. Major centres record high occupancy: Al Noor Mall 97.2% in H1 2025 and Al Rashid Mega Mall about 93.8%, reflecting strong demand for quality, well-located centres.

Al Noor Mall		97.2%
Al Rashid Mega Mall		93.8%
Open-air centres		98%

Takamol reading

Modern retail schemes in Madinah lean increasingly on F&B, leisure and open spaces alongside conventional shopping — clearly seen in Multaqa Al Madinah, with a 72k sqm GLA leisure mall, a boulevard, restaurants and cafés, a heritage zone and a 65k sqm public park.

Visitors and pilgrims are a unique demand component: 661 hospitality facilities and 80,223 rooms at end-Q1 2026 inject daily spending on F&B, retail and leisure that does not depend on residents alone.

Opportunity window: until Downtown (2029) and Multaqa 2 complete, open-air centres on Quba Avenue and the Multaqa boulevard hold 98% occupancy and waiting lists of international brands.

Delivery map of major retail schemes and destinations 2026–2030

1 **Multaqa Al Madinah 1 — Knowledge Economic City** 2026

About 72,000 sqm GLA for the retail and leisure centre in phase one · total leasable area about 122,000 sqm · on King Abdulaziz Road near the Haramain Rail station · opening targeted by end-2026

2 **Madinah Downtown — Cenomi / Saudi Downtown** 2026–2029

A new integrated retail, leisure and hospitality destination · Cenomi Centers contracted to develop, manage and operate the mall within Saudi Downtown's Madinah scheme · final GLA not announced · 3-year lease-commitment agreement

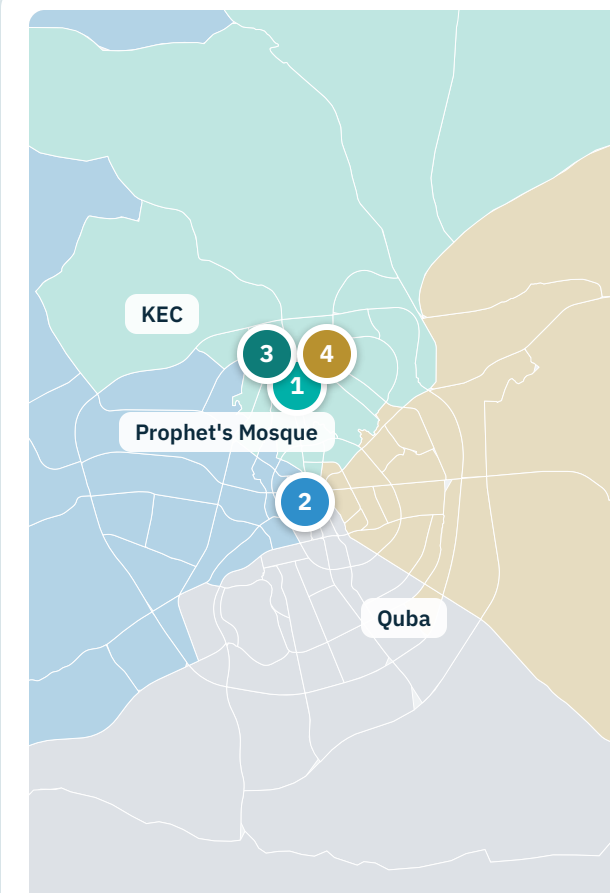
3 **Multaqa Al Madinah 2 and new centres** 2027–2028

About 31,108 sqm NLA of commercial and office space in Multaqa 2 · plus smaller schemes such as Sumou Gate (157 retail units over 17,361 sqm) · adjoining phase one on King Abdulaziz Road

4 **Al Aliya 1 — Knowledge Economic City** Under development

About 29,000 sqm of retail within a mixed-use scheme combining retail, offices, housing, hotels, hotel apartments and green space · northern KEC on Safwan Street · a new urban hub for residents and visitors

+150k sqm of modern leasable space planned to 2028 in KEC alone (Multaqa 1 and 2, Al Aliya) — plus the Downtown destination in 2029, turning the King Abdulaziz Road corridor into the new commercial centre of gravity.



Approximate project locations on the actual Madinah district map

The four pillars of demand and spending in Madinah retail

Leasable space by pillar (upper end of range — Takamol estimates)

Retail & shopping 40%

F&B 30%

Leisure 20%

Services

- **Visitors and pilgrims:** A vital component in Madinah; GASTAT tracks domestic and inbound visitors quarterly, and tourism spending feeds the tourism consumption estimate. 21 million visitors and SAR 52bn of tourism spending in 2025.
- **Tourism and hospitality:** Hotel and serviced-apartment guests and visitors, and their spending on F&B, retail and leisure. Q1 2026 statistics show 661 licensed hospitality facilities and 80,223 rooms at end-Q1 2026.
- **Local residents:** City and neighbourhood residents around each centre — the base of repeat demand for supermarkets, F&B, fashion, services and leisure — 1.444 million people growing 4.1% a year.
- **Corporate and workplace spending:** Employees, firms and institutions within a centre's catchment, felt especially in F&B, daily services and convenience retail, notably around KEC and the business corridors.

80,223

hospitality rooms in 661 licensed facilities at end-Q1 2026 — a daily spending base

72K sqm

Multaqa Al Madinah mall GLA + 65k sqm park — the open destination model

35–42%

food and shopping share of the visitor budget — the F&B engine

Summary

The winning tenant mix in Madinah starts with F&B near the Haram, is anchored by neighbourhood services and family leisure in open-air destinations, and concentrates fashion and international brands in the major malls.

Benchmark: traditional enclosed malls vs open-air centres

	Open-air centres (Strip & Lifestyle Malls)	Regional enclosed malls
Key examples	Quba Avenue, the Multaqa boulevard in KEC and open frontages on main corridors — a model blending retail with F&B, leisure and experiences	Al Noor Mall, Al Rashid Mega Mall, Aliat Mall — enclosed centres focused on conventional retail, local and international brands and daily services
Occupancy	98% full occupancy with waiting lists of international brands in prime open-air destinations	94–97% high occupancy in leading regional centres (Al Noor Mall 97.2% · Al Rashid Mega Mall 93.8%) with vacancy of 3–6%
Average rent	3,500–4,500 SAR/sqm/yr for premium prime frontages in open-air destinations near the Haram and visitor corridors	1,600–2,000+ SAR/sqm/yr — varying by location, frontage and footfall, with a clear gap between anchor and in-line units
Operating edge	Visitor experience, F&B and leisure, flexibility and links to public space — suited to pilgrim flows and the mild winter and spring climate	Air-conditioned experience and year-round operating stability serving residents' daily and family shopping, with a need for more F&B and leisure to stay competitive

The open-air premium: premium frontage rents in open-air centres near the Haram reach double those of enclosed malls with occupancy one to four points higher — making the repositioning of space in traditional malls towards F&B and leisure an investment priority.

Geographic distribution and rents by retail corridor in Madinah

1

Northern corridor

Sultanah – Abu Bakr Al Siddiq – Second Ring

A mature retail corridor serving established residential districts in the north; F&B, brands, showrooms and daily services, with community centres and supermarkets, and Al Noor Mall as a leading regional centre.

1,600 – 2,000

SAR/sqm · 96% occupancy

2

Eastern corridor

King Abdulaziz Road – KEC – Haramain station

The modern retail and growth corridor; Multaqa Al Madinah (72k sqm GLA), Al Aliya and Sumou Gate within mixed-use schemes blending retail with hospitality and offices, drawing on Haramain Rail and airport traffic.

1,800 – 2,400

SAR/sqm · 97% occupancy

3

Southern corridor

Al Hijra Road – Quba Avenue – Quba Mosque

Lifestyle and tourist retail; Quba Avenue links the Prophet's Mosque with Quba Mosque through restaurants, cafés and heritage experiences, with high, seasonal footfall; the highest rents for premium open-air frontages.

2,500 – 4,500

SAR/sqm · 98% occupancy

4

Western and central corridor

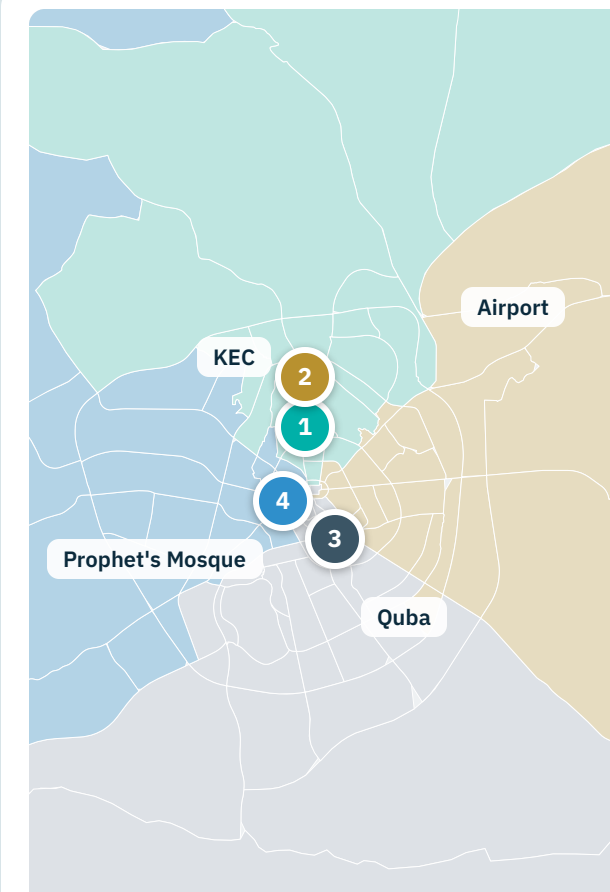
Central Area – King Faisal Road – Prophet's Mosque approaches

Tourist and hospitality retail with heavy footfall; gifts, dates, perfumes, restaurants and cafés on the ground floors of hotels and towers around the Haram, and daily-service retail on King Faisal Road to the west.

2,000 – 3,500

SAR/sqm · 97% occupancy

Implication: the rent gap between Quba Avenue and the northern corridor reaches 2.2× at the upper end — the market rewards proximity to visitor routes and open-air experience above any other factor, while the eastern corridor is the highest-growth entry opportunity.



Retail corridor centres of gravity on the Madinah district map

Strategic pyramid and recommendations for the retail sector

Lifestyle destinations and visitor experience

Retail + F&B + leisure + culture: open-air space of 10,000–25,000 sqm on the KEC, Quba and Central Area corridors focused on restaurants, cafés and heritage experiences — the highest rents (up to SAR 4,500/sqm) and fastest leasing.

Community service centres

New districts and NHC suburbs: supermarket + pharmacy + health and fitness + F&B and daily services for Al Dar Suburb, Al Aziziyah and Shuran on long leases (10–15 years) — stable income supporting finance and exit as population grows 4.1% a year.

Repositioning existing malls

Repositioning: converting under-performing space in enclosed centres into F&B, leisure, services and experiences to lengthen dwell time and asset efficiency, and to meet coming competition from Multaqa and Downtown.

Execution matrix

Transport and smart parking

Ample shaded parking and links to Madinah Buses stops (455 stops) — the first factor in destination choice for visitor and resident alike.

Flexible and seasonal leasing

Base rent plus turnover share for F&B and leisure, and short leases for pop-up stores in Ramadan, Hajj and visiting seasons.

Digital integration and city identity

E-commerce pick-up and return points, and architecture reflecting Madinah's identity and the visitor experience.

Pyramid order from the top: highest priority by return versus development effort.

05

Knowledge Economy, Industry & Logistics

Dashboard and gauges · Flow chart from KEC to warehouse and visitor
· Demand drivers and the Industrial City · Airport and Haramain Rail ·
Investor opportunities



Dashboard: an industrial and logistics base serving the visitor economy

25M sqm

industrial land in Madinah Region

17M sqm

land in the Industrial City · 10 million sqm developed

155

operating factories in the Industrial City

82%

occupancy of allocatable industrial land

Occupancy and rent by facility type

Market dynamics: occupancy of about 82% on allocatable industrial land shows strong take-up of developed stock and real demand for industrial facilities, pointing to a future need for expansions or additional space. Warehouse rents are Takamol estimates.

Developed industrial land		82%
Developed share of the Industrial City		59%
Modern warehouses (Grade A) SAR/sqm		~240
Traditional warehouses SAR/sqm		~130

Why do the knowledge economy and logistics excel in Madinah?

Knowledge Economic City (KEC) adds a knowledge-economy layer: a hub for business, knowledge and investment supporting light-tech, commercial, residential and hospitality uses, with 1.18 million sqm of flagship project space and a direct link to the Haramain Rail station.

21 million visitors and 80k hospitality rooms feed daily logistics demand for cold storage, food distribution, catering and hotel supplies, while the airport expansion (18m passengers) and the Industrial City (155 factories) widen the productive and service base.

Flow chart: from KEC and the Industrial City to the visitor

Four linked stages define where industrial, logistics and knowledge-economy property demand concentrates in Madinah.

Link 1

Knowledge economy and business

1.18M sqm

Knowledge Economic City — modern offices, business centres, Multaqa Al Madinah, Al Aliya and Knowledge Gardens — a platform for technology, services and Hajj and Umrah firms.



Link 2

Industrial City and manufacturing

155 factories

17 million sqm of land in the Industrial City, 10 million sqm developed at 82% occupancy — food, packaging, building materials and hospitality supplies.



Link 3

Airport, Haramain Rail and buses

18M passengers

Prince Mohammad bin Abdulaziz Airport (18m passengers by end-2027), the Haramain Rail station and a 639 km bus network — a distribution platform for visitors and goods.



Link 4

Distribution, catering and hospitality supply

80K rooms

Warehouses, cold storage and distribution centres serving 661 hospitality facilities, restaurants and retail, with target yields of 7.5%–8.5% for logistics assets.

The decisive location: the Industrial City – airport – King Abdulaziz Road triangle in the north-east is where the highest warehouse rents and lowest vacancy are recorded.

Required specification: 10–12 m clear height, chilled and frozen storage for hotel catering, multiple loading docks, rooftop solar and truck manoeuvring space.

Target tenants: catering and hotel supply firms, 3PL and regional distribution, e-commerce, date and food suppliers, and Hajj and Umrah service companies.

Industrial, logistics and knowledge demand drivers and developer opportunities

The five demand drivers

1

Visitor economy and hotel catering: 21 million visitors, 80k hospitality rooms and 47k planned — a daily supply chain needing cold storage, distribution, central laundries and operator warehouses.

2

Knowledge Economic City: 1.18 million sqm of project space and a business and knowledge hub attracting technology and service firms, data centres and project management offices.

3

Industrial City and local manufacturing: 155 factories, 82% occupancy of developed land and 17 million sqm of land — expansions needed to absorb growth in productive activity.

4

Dates and agricultural produce: 149 agricultural deals worth SAR 489m in 2026 — palm farms feed the packing, storage and export chain for Madinah dates (Ajwa).

5

Transport infrastructure: Airport expansion to 18m passengers, the Haramain Rail station and 639 km of Madinah Buses lower logistics costs and raise the appeal of nearby sites.

Investment opportunities

Grade A build-to-suit warehouses

Developed to tenant specification (catering and hotel supply firms, 3PL) on 7–10 year leases near the Industrial City and airport — the closest to an institutional asset that REITs can acquire.

Cold storage and central catering complexes

Chilled and frozen units of 2,000–5,000 sqm serving 661 hospitality facilities and the Ramadan and Hajj seasons — the clearest gap in the market, with target yields up to 8.5%.

Offices and business centres in KEC

Modern Grade A office buildings (about SAR 1,000/sqm/yr, +6%) and co-working for technology and Hajj and Umrah service firms near the Haramain Rail station.

06

Hospitality & Hotels

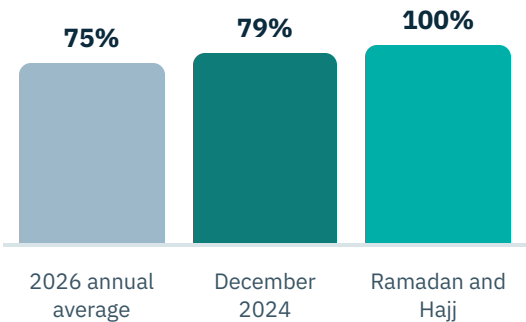
Operating and financial indicators · Demand drivers and guest behaviour · Development and investment economics · Geographic distribution of investment hotspots · Seasonality · Risks and mitigation · Recommendations



Operating and financial dashboard for the Madinah hotel market

Indicator	Estimated value 2026	YoY change	Analysis and data sources
Total existing hotel supply	28,500 – 42,000 keys	+5.5%	Concentrated in the Central Area; 47,000 keys planned in Rua Al Madinah and 7,000 in KEC (661 licensed facilities, 80,223 rooms regionally).
Overall annual occupancy	74.7%	+4.2 pts	About 100% in Ramadan and Hajj, 72% on Haramain Rail and Umrah flows; 79.3% in December 2024.
Average daily rate (ADR)	SAR 538 / night	+8.5%	A sharp spread between peaks (up to SAR 3,500 in Ramadan and Hajj) and ordinary days (SAR 450–600).
Revenue per available room (RevPAR)	SAR 402	+12.4%	Record performance supported by higher occupancy and rate growth in classified hotels.
Total operating revenue	SAR 620 – 850 / room	+9.8%	Includes the F&B contribution from Hajj and Umrah missions, banqueting and exhibitions.
Gross operating profit margin	45% – 52%	+2.8%	High margins from stable demand and efficient group bookings for Hajj and Umrah missions.

Occupancy: annual vs peak



Institutional analysis

A unique operating pattern built on year-round religious tourism (Hajj, Umrah and Ziyarah), driven by visa facilitation, the Nusuk platform and the extended Umrah season. Two main peaks (Ramadan and Hajj) at full occupancy and top ADR, with steady pilgrim flows at weekends and holidays narrowing the seasonality gap.

Hotel demand drivers, guest behaviour and spending patterns in Madinah

Demand segment	Key drivers and feeder events	Daily guest spend	Average stay	Share
International Umrah & Ziyarah	Nusuk platform, direct flights, visa facilitation, extended Umrah season	SAR 750 – 1,400	4.5 – 6.0 nights	50% – 55%
Hajj season and missions	Official quotas (+1.7 million pilgrims), Tawafa companies, group bookings	SAR 1,200 – 2,200	7.0 – 9.0 nights	20% – 22%
Domestic & GCC visitors	Haramain Rail, school holidays, weekends, road travel	SAR 650 – 1,100	2.0 – 3.0 nights	15% – 18%
Conferences and events (MICE)	Hajj conferences, KEC centre, authority events and cultural occasions	SAR 1,000 – 1,600	3.0 – 3.5 nights	6% – 8%
				

Shifts in guest behaviour

Independent Umrah (FIT): 45% have moved to direct booking via Nusuk — a guest more sensitive to price, location and online ratings.

Longer stays and site exploration: visits extended to historic sites such as Quba, Uhud and Islamic World Avenue, lifting average stay and retail spending.

35–42%

Food and shopping revenue

Food and shopping share of the visitor budget — supporting F&B revenue in hotels, restaurants and retail around the Haram.

Hotel development and investment economics: three grades compared

Financial and development metric	5-star Luxury	4-star Upscale	Serviced apartments Serviced Living
Construction and fit-out cost per key (CapEx/Key)	950k – 1.45m	550 – 750k	400 – 580k
International operator fees (Base + Incentive)	2.5% revenue + 9% GOP	2.0% revenue + 7% GOP	1.5% revenue + 5% GOP
Average annual net cash flow per key	95,000 – 145,000	58,000 – 82,000	48,000 – 70,000
Rate of return — expected IRR	12.5% – 14.5%	14.0% – 16.5%	16.0% – 18.5%
Payback period	8.0 – 10.0 years	6.5 – 7.8 years	5.2 – 6.5 years
Values in SAR · Takamol estimates based on hotel development benchmarks in Madinah 2026.			

Up to 60%

of capital cost covered by Tourism Development Fund (TDF) packages for eligible hotel projects in partnership with banks

Financing drivers for the sector

Tourism Development Fund (TDF):

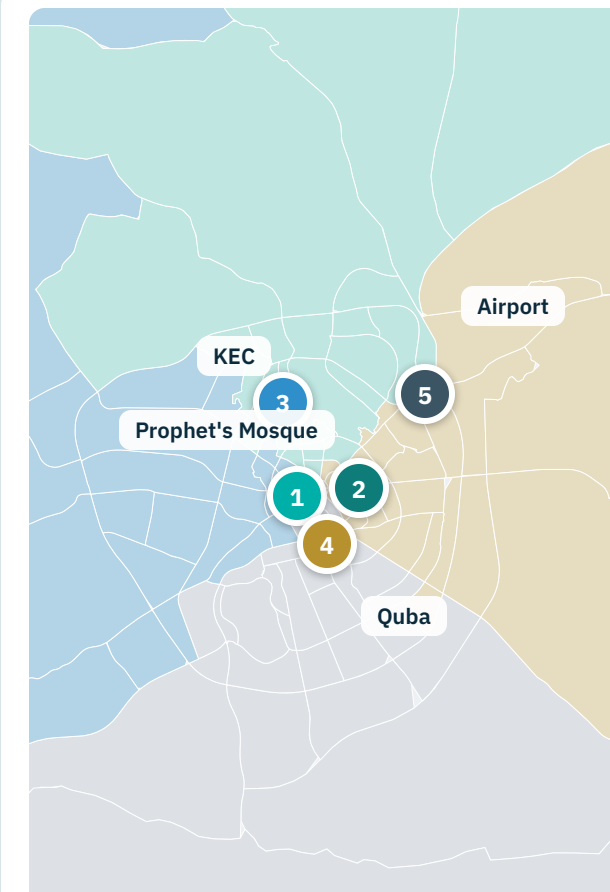
hotel project finance in partnership with banks, with competitive packages covering up to 60% of cost for eligible midscale and luxury schemes.

Serviced-apartment efficiency: higher IRR (up to 18.5%) and the shortest payback (5.2–6.5 years) with the lowest capital and operating cost — the best fit for family and extended-stay demand in Madinah.

Detailed geography of hotel investment hotspots in Madinah

1	North and west Central Area Haram plazas and Bab As-Salam	Ultra-luxury 5-star hotels with direct views of the Prophet's Mosque; the city's highest ADR and densest demand from international Hajj and Umrah missions; scarce land.	1,100 – 2,400 SAR · target ADR
2	Eastern Central Area Rua Al Madinah	4- and 5-star complexes and serviced hospitality apartments in the largest hotel development (47k rooms by 2030); the biggest opportunity for international operators and funds.	750 – 1,300 SAR · target ADR
3	King Abdulaziz Road and KEC Rail station and Al Aliya	Business and transit hotels and serviced apartments serving Haramain Rail and airport passengers, KEC staff and Hajj conferences (MICE); 7,000 keys planned in KEC.	450 – 750 SAR · target ADR
4	Al Hijra Road and Quba Quba Avenue and mosque expansion	Heritage boutique hotels and family inns drawing on Quba Avenue and the historic trails; demand from domestic and GCC visitors and families seeking a different experience at moderate prices.	380 – 600 SAR · target ADR
5	Second Ring Road and airport Hajj City and airport area	3-star select-service hotels for groups, Hajj missions and air transit; the lowest land cost and the heaviest reliance on group bookings and Tawafa companies.	280 – 420 SAR · target ADR

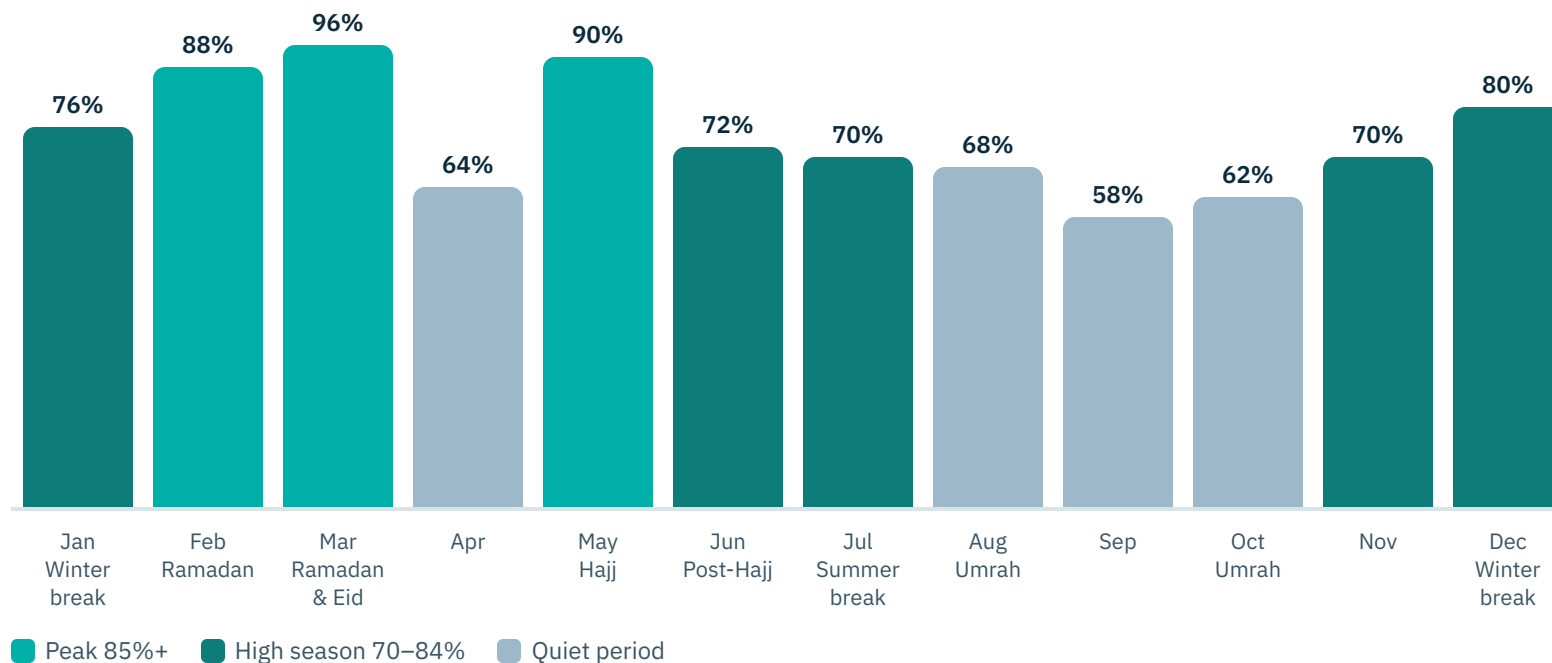
Implication: the ADR spread between the Haram plazas (up to 2,400) and the Second Ring Road (280) is 8.6x; proximity to the Haram sets price, while KEC and Quba Avenue hold the widest upper-midscale gap.



The five hotel investment corridors on the Madinah district map

Seasonality: estimated hotel occupancy curve across the year

Takamol reading of demand rhythm — indicative, from the 74.7% annual average and the Ramadan and Hajj peaks (about 100%), 2026 Hijri calendar.



~38 pts

gap between the Ramadan peak (about 96%) and quiet months (about 58%) — narrower than most cities thanks to year-round Umrah flows

How is seasonality managed?

At peak: dynamic pricing (ADR up to SAR 3,500), minimum stays and advance contracts with Umrah and Tawafa companies.

Off-peak: domestic and GCC packages via Haramain Rail, Hajj conferences and KEC events, and extended stays for professionals.

In design: flexible dual-key assets switching between hotel and long-term serviced living for staff and families.

Strategic hedging and executive mitigation in Madinah

Challenge / Risk	Impact	Strategic hedge and executive mitigation
Sharp seasonal swing between Ramadan, Hajj and ordinary months	High	Advance contracts with Umrah and Tawafa companies, cultural weekend packages linking the Haram with Quba, Uhud and Islamic World Avenue, and domestic visitor packages via Haramain Rail.
Footfall pressure and maintenance cost in peak seasons	Medium	Building management systems (BMS) and district cooling to cut costs by 20%, preventive maintenance scheduled in quiet months, and hard-wearing finishes on high-traffic floors.
Concentration of large future supply (47k rooms in Rua Al Madinah)	Medium-High	Differentiate through serviced living and upper-midscale hotels outside the Central Area, or contract operators with strong loyalty programmes and global distribution (GDS) to secure demand before supply completes.
Competition from budget lodgings and unclassified furnished apartments	Low	Comply with Ministry of Tourism classification standards, focus on digitalisation and direct booking via Nusuk and platforms, and offer free shuttles to the Haram as a decisive competitive edge.

Final recommendations for hospitality investors in Madinah

01

Capture the serviced hotel apartment (Extended Stay) opportunity

The fastest payback (5.2–6.5 years) and IRR above 16% by building serviced hotel apartments for families and extended stays on King Abdulaziz Road and Al Hijra Road, combining seasonal pilgrim letting with off-season staff contracts.

IRR 16%–18.5% · Payback 5.2–6.5 years

02

Focus on upper-midscale hotels

Direct investment to the King Abdulaziz Road, KEC and Quba Avenue corridors at SAR 450–750 to fill the gap between luxury Haram hotels (up to SAR 2,400) and budget lodgings, serving domestic and GCC visitors and Haramain Rail passengers.

Target ADR SAR 450–750 · the widest gap in the market

03

Partner with finance funds and the franchise model

Draw on Tourism Development Fund (TDF) packages covering up to 60% of capital cost in partnership with banks, and adopt franchise agreements with global brands (Accor, Marriott, Hilton) to lift margins and cut direct management costs.

Up to 60% soft finance · franchise rather than management

07

Legal & Regulatory Framework

Foreign-ownership regime and approved zones in Madinah • White land tax and supply release • Real estate contributions law • Brokerage and the Ejar network • Title registry • Credit environment and REITs



Market restructuring, investor protection and Islamic capital

100%

foreign-ownership zones: KEC, Rua Al Madinah, Dar Al Hijra and corridors outside the Haram boundary

~7.5%

total transaction costs (5% RETT + brokerage capped at 2.5% by law)

10–13.5%

target net yields for hotels and hotel towers in the Central Area — among the highest globally

Ownership scope in Madinah

Full 100% ownership zones cover developed investment areas such as Knowledge Economic City (KEC), Rua Al Madinah and Dar Al Hijra, plus hotel towers, retail and logistics centres beside the Haramain Rail station and the airport, subject to the Haram boundary controls.

Target segment: global hospitality chains (Accor, Marriott, Hilton) owning headquarters, hotel assets and training centres, plus global and regional property funds and Muslim investors acquiring income-producing hotel and retail assets.

Digital route: mandatory property verification and no-objection certificates, linked instantly to the Real Estate Registry (RER) via REGA's Saudi Properties portal to confirm ownership conditions in the two Holy Cities.

Conditions, restrictions and expected return

Direct ownership within Makkah and Madinah is limited to citizens and non-Saudi Muslims under the updated regime, with long-term usufruct contracts in some endowment and Haram-area assets, and institutional investment via licensed platforms and funds.

Expected return: hotels and hotel towers in the Central Area 10%–13.5% net (among the highest globally), serviced apartments and seasonal letting 8.5%–11%, and retail centres and logistics assets 7.5%–8.5% stable net rental yields.

White land tax and urban supply release dynamics in Madinah



The three phases of the white land tax

Releasing hoarded land within the urban boundary

Phase one

Undeveloped raw land of 10,000 sqm or more within the declared boundary.

Phase two

Developed land of a single owner of 10,000 sqm or more, or a single owner's combined holdings of 10,000 sqm or more within one approved plan.

Phase three

Developed land of a single owner of 5,000 sqm or more in one city, to stimulate direct development inside completed districts.

2.5%

a year of the land's estimated market value

32M sqm

of land invoiced within the Madinah urban boundary

Developer opportunity: landowners under tax pressure in growth corridors (Al Aziziyah, Shuran, Al Hijra Road, east Madinah) are more open to JV development — cutting land cost and opening new plans.



Financial and urban impact

From hoarding to development

Owners obliged to pay the annual levy

2.5% of estimated market value, or develop within the statutory period — curbing hoarding in favour of development or sale to funds in growth corridors (Al Aziziyah, Shuran, Al Hijra Road, east Madinah).

100% of proceeds recycled

Collected levies fund infrastructure for NHC housing projects such as Al Dar Suburb.

Regulatory delivery data

Over 32 million sqm of white land invoiced within the Madinah urban boundary; over 8.5 million sqm entered active development and plan approval, speeding thousands of plots into the expansion districts and cutting estimated cost 10%–15%.

8.5M sqm

entered active development and plan approval

10–15%

reduction in estimated land cost for developers

Takamol reading: the levy turned white land in the expansion districts from idle stock into real supply — explaining part of the 2026 jump in Al Rumanah, Al Ranuna and Al Difa deals.

Regulatory transformation map: four phases that redefined the market

01

Regulation and governance

Launch of the brokerage law, the FAL licence and implementing regulations protecting transactions; REGA established as the single regulator; a stronger role for the Madinah Region Development Authority.

02

Digitalisation and documentation

The Ejar platform and the unified Real Estate Registry (RER) record ownership electronically with a unique property number for every unit in Madinah, linking deals to transparent official data and preventing overlapping deeds.

03

Financial opening and liquidity

Updated REIT regulations, the new real estate contributions law, property crowdfunding (from SAR 1,000), and the off-plan sale and lease regime (Wafi) with escrow accounts.

04

Internationalisation and investment

Ownership by non-Saudi Muslims in the two Holy Cities within approved zones (KEC, Rua Al Madinah, Dar Al Hijra), linked to Premium Residency and investment incentives.

According to Knight Frank, Saudi real estate is no longer an unregulated market governed by individual discretion; it has become an institutional environment governed by REGA legislation. This shift from informality to digital governance lifted the Kingdom's Real Estate Transparency Index per JLL, creating a safe environment for foreign and local institutional investors — reflected directly in Madinah as an ownership destination for Muslim investors worldwide.

The new real estate contributions law and capital protection mechanisms

RC

Real estate contributions law

Dual oversight and institutional regulation

Dual oversight

Real estate contributions in Madinah are jointly supervised by REGA and the Capital Market Authority (CMA), with developers required to be licensed institutional entities, technically and financially qualified.

Property crowdfunding channels

Licensed PropTech crowdfunding platforms let individuals and institutions subscribe to hospitality and housing projects in Madinah from SAR 1,000, providing immediate liquidity for hotel and residential developers.

Governance flow

Feasibility study and land acquisition → REGA and CMA approval → public/private offering → escrow account opened → independent engineering and accounting supervision → payments released on progress → liquidation and profit distribution.

Escrow system: developers must open a restricted bank account from which funds are released only against field progress reports certified by an engineering consultant and a chartered accountant.

FAL

Brokerage law and the Ejar network

The FAL licence and professional requirements

The FAL licence

Mandatory training with the Saudi Real Estate Institute and a FAL licence to practise brokerage, property management, facilities management and property auctions in Madinah.

Regulated marketing and digital advertising

A ban on unlicensed, indiscriminate property adverts, with marketing platforms linked directly to REGA via APIs to verify deed data and advertised prices.

Commission governance

Brokerage commission capped at 2.5% of deal value on sales, rental commission limited to the first year, and double or undisclosed commissions criminalised to curb speculation.

Legal and financial impact: the unified lease contract is an enforceable instrument executed directly without litigation, reducing rental disputes in Madinah's enforcement courts and securing cash flow through mandatory payment channels (mada, SADAD).

Real estate title registration (RER) and conclusive deeds

How the system works — from survey to conclusive title

1

Technical concept of title registration

A unique, non-repeating property number for every plot, building or unit in Madinah, with ownership tied to 3D geodetic coordinates to prevent overlapping titles and duplication across modern and historic plans.



2

The pivotal role of Etmam

The Etmam developer services centre, with the Madinah Region Development Authority and Municipality: faster approval of residential and hospitality plans, building permits and infrastructure certificates, shortening the time to project start.



3

Absolute, unchallengeable title

A registry deed carries conclusive evidential force once statutory objection periods lapse — ending the overlap of old endowment deeds and historic claims in Madinah's oases and valleys, and giving investors and institutional funds complete legal security.

90%

maximum loan-to-value (LTV) enabling citizens to buy a first home

<1.4%

non-performing loan (NPL) ratio in the region's real estate sector

Credit environment, mortgage finance and REITs

SAMA policy: LTV capped at 90% for a first home, developer finance ceilings set on solvency and project operating cash flows, and NPL ratios held below 1.4%.

REITs: Saudi REITs have acquired leading hotel, hospitality, education and retail portfolios in Madinah worth billions of riyals, with growing sale-and-leaseback deals providing immediate capital liquidity for hotel companies.

Mortgages and bank finance: electronic registration and release of mortgages via the Registry platform has cut credit risk and sped up lending to hotel and residential schemes in KEC and around the Haram.

Fiscal impact matrix: white land tax, RETT and first-home exemption

	White land tax	Real estate transaction tax (RETT)	First-home exemption
Rate / mechanism	2.5% a year of land value (three implementation phases)	5% flat on the value of the property transaction	1,000,000 SAR — tax exemption ceiling for a first home
Direct objective	Curb hoarding and push owners to develop	Replaces 15% VAT on property	Support citizen home ownership
Impact on market activity	32 million sqm invoiced, 8.5 million sqm entering development and land cost cut 10%–15%	Eases liquidity pressure and speeds trading of hotel and residential assets between companies and individuals	Boosts apartment and townhouse sales in the SAR 950k – 1.4m bracket in the expansion districts and Al Dar Suburb

The advanced phases of the white land tax in Madinah are among the main drivers of supply release: they curbed land hoarding within the urban boundary and pushed major owners either to sell to development funds or to enter development partnerships, speeding thousands of plots into the expansion districts. A stable 5% RETT with the first-home exemption kept transaction flows fluid — seen in the 49% rise in residential deal value.

08

Real Estate Transaction Volumes

A reading of Real Estate Registry transactions in Madinah during 2026:
residential · commercial · industrial · agricultural · total market and
conclusions



Residential: SAR 3.4bn and record growth in deal count and value

+38%

YoY growth in residential deal count — highest of major cities

+49%

annual growth in residential deal value

SAR 3.4bn

total residential transaction value, 2026

627

deals in Al Rumanah — most by count, worth SAR 594m

District / zone	Deals	Area traded	Deal value	Average deal price
Al Rumanah	627	304.4k sqm	SAR 594.0m	≈ SAR 947k
Al Ranuna	474	132.0k sqm	SAR 342.6m	≈ SAR 723k
Al Difa	270	116.7k sqm	SAR 247.7m	≈ SAR 801k
Al Aziziyah	199	96.4k sqm	SAR 159.4m	≈ SAR 1.1m
Al Sakb	116	46.0k sqm	SAR 71.2m	≈ SAR 613k

Reading the activity

An active, growing residential market: +49% in deal value and +38% in count, driven by population demand, giga-projects, urban expansion and new growth corridors, strengthening liquidity and investment appeal. Deals concentrate in the southern and western expansion districts.

What it means

Strong real demand, higher liquidity and better prospects for mid-market, good-quality residential schemes in the new districts and corridors; an average deal of SAR 600k–1.1m matches family purchasing power and housing support.

Commercial: fewer deals, higher value and larger plots

754

commercial deals recorded in the Real Estate Registry in 2026

1.59bn

SAR — total value of commercial transactions

2.11m

SAR — average commercial deal value (about 2.7× the residential average)

2,246

SAR/sqm — average commercial price · average plot 939 sqm

Residential vs commercial — relative comparison



What it means

The higher average commercial deal (SAR 2.11m) and price per sqm (SAR 2,246/sqm) relative to the market as a whole show that commercial activity concentrates in high-value locations, particularly main corridors and areas tied to visitors and mixed-use schemes. This reflects strong demand for good commercial sites and the weight of frontage and location in pricing.

Industrial and total market: from the Real Estate Registry

25M sqm

industrial land in Madinah
Region

17M sqm

land in the Industrial City · 10
million sqm developed

82%

occupancy of allocatable
industrial land

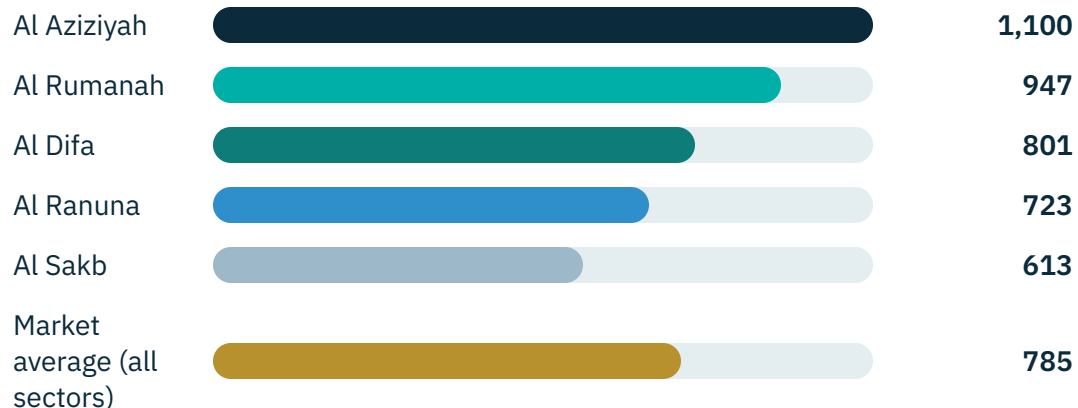
155

operating factories in the
Industrial City

12,336

property deals in total worth
SAR 9.69bn in 2026

Average residential deal price by district (SAR k) — 2026 deals



Total market deals reach 12,336 worth SAR 9.69bn, with an average deal of SAR 785k and an average price of SAR 532/sqm over 18.2 million sqm traded (average plot 1,475 sqm).

Residential deal values are higher in Al Aziziyah and Al Rumanah thanks to larger units and proximity to Haram access corridors.

What it means

Occupancy of about 82% on allocatable industrial land shows strong take-up of developed industrial stock and real demand for industrial land and facilities, and points to a future need for expansions or additional space to absorb growth in productive, logistics and service activity serving the visitor and hospitality economy.

Agricultural and transaction summary: palm oases and the date capital

149

agricultural deals in 2026

489.3M

SAR — total value of agricultural transactions

3.28M

SAR — average agricultural deal value

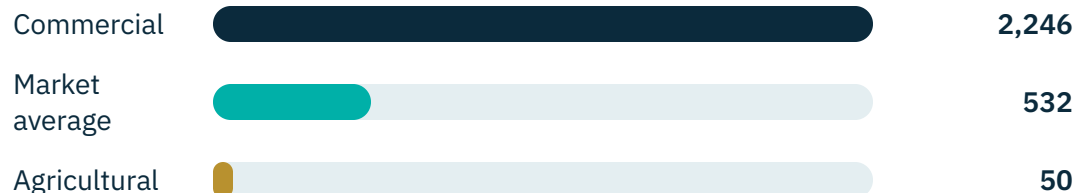
65.6K sqm

average agricultural plot

50

SAR/sqm — average agricultural price

Average price per sqm by sector (SAR/sqm) — 2026 deals



Relatively few agricultural deals against large traded areas and low value per sqm show a market built on large, low-density, low-value-per-metre plots — consistent with agricultural investment that depends on land size and productivity more than urban location or built density.

Closing the transactions section

Property transactions in Madinah reflect liquidity and real demand within the market and offer an important indicator of investment trends and the spread of activity across sectors. They carry added weight because local residential demand overlaps with visitor, pilgrim, tourism and hospitality demand — making analysis of deal value, count, type and location a key tool for understanding market structure and development opportunities.

09

Takamol View: Opportunity Summary

Ten ranked investment opportunities · Investor matrix by capital and horizon · Takamol Advanced and its services · Real Forsa and Real Invest · Sources and methodology

Ten investment opportunities in Madinah 2026 – ranked by strength

1

Extended-stay serviced apartments on King Abdulaziz / Al Hijra Roads

IRR 16%–18.5% · payback 5.2–6.5 years · seasonal letting + staff leases

Hospitality

2

Upper-midscale 4-star hotels in KEC and on Quba Avenue

ADR SAR 450–750 · 74.7% annual occupancy · the widest gap in the market

Hospitality

3

Dual-key apartments for ownership and seasonal letting, east Madinah

Yield 8%–11% · prices SAR 4,200–5,800/sqm · demand +49%

Residential

4

Open-air lifestyle destinations on Quba Avenue and visitor corridors

Rent SAR 2,500–4,500/sqm · 98% occupancy · international waiting lists

Retail

5

Grade A offices and co-working in KEC

Rent ~SAR 1,000/sqm · growth +6% · vacancy 2% · window before 2028

Offices

6

Smart townhouses (250–320 sqm) in Al Dar Suburb and Abyar Ali

Budget SAR 950k – 1.4m · MMC build · off-plan sales

Residential

7

Cold storage and central catering near Industrial City and airport

82% industrial occupancy · 661 hospitality facilities · yield 7.5%–8.5%

Logistics

8

Community service centres in Al Aziziyah, Shuran and Al Dar

10–15 year leases · 4.1% population growth · 36k units coming nearby

Retail

9

JV partnerships with landowners under white land tax pressure

8.5m sqm entered development · land cost cut 10%–15% · expansion districts

Land

10

Ownership funds for Muslim investors in approved zones

KEC and Rua Al Madinah · yields 10%–13.5% · 2026 regime

Institutional

Investor matrix: which opportunity suits whom?

Individual investor

Capital SAR 0.5 – 2m

Horizon: 5–8 years · Goal: recurring income + capital growth

2–3 bedroom dual-key apartment on King Abdulaziz Road

Family apartment in Al Aziziyah or Shuran for housing-support buyers

Off-plan (Wafi) unit in Al Dar Suburb (NHC)

Target yield: 6.0% – 11.0%

Mid-size investor / family office

Capital SAR 2 – 30m

Horizon: 5–10 years · Goal: liquid income-producing asset

Serviced-living apartment building on Al Hijra Road

Open-air retail centre on Quba Avenue or a dense northern district

2,000–5,000 sqm cold store for hotel catering firms

Target yield: 8.0% – 11.0%

Real estate developer

Projects SAR 30 – 300m

Horizon: 2–4 year development cycle · Goal: margin + exit

250–320 sqm townhouses with MMC and off-plan sales

4-star franchise hotel with TDF finance in KEC

JV with a landowner in east Madinah or on Al Hijra Road

Target margin: 22% – 28% · IRR 14%–18.5%

Institutional investor / funds

SAR 300m+

Horizon: 7–15 years · Goal: core income assets on long leases

Hotel tower in Rua Al Madinah or the Central Area at 10%–13.5%

Sale and leaseback of existing hotel chain assets

Ownership fund for Muslim investors in approved zones

Target yield: 8.5% – 13.5% · REIT-listable

Takamol Advanced: your advisory partner in real estate decisions

Takamol Advanced Company (TAC) is a Saudi–Emirati partnership specialised in real estate and investment advisory, combining local market expertise with digital analytics to deliver investment decisions built on data rather than impression. We serve developers, private investors, family offices and funds across the Kingdom and the GCC.

Market research and reports

City, zone and district reports, opportunity maps and sector KPIs.

Feasibility and valuation

Financial modelling, highest-and-best use, valuation and deal structuring.

Investment advisory

Portfolio building, opportunity selection and due diligence for investors.

Development advisory

Optimal product, use mix, pricing and launch strategy for developers.

Foreign investor service

Foreign-ownership and Premium Residency guidance, from eligibility to closing.

An integrated digital ecosystem

Real Forsa to discover opportunities and Real Invest to analyse them — our own tools that turn this report into a decision.

Why Takamol? Analysis at corridor and district level, not just the city · figures tied to operable feasibility models · a team combining Saudi and Emirati expertise · full transparency on sources and methodology.



From report to decision: Real Forsa & Real Invest

Two Takamol Advanced platforms that complete this report — one presents the opportunities, the other analyses them.



Real Forsa

Proptech opportunities marketplace · realforssa.sa

The proptech marketplace for real estate opportunities within the Takamol ecosystem: it curates selected opportunities across the Kingdom — development land, income-producing assets, development partnerships and off-plan products — and presents them to Saudi, GCC and international investors with unified, transparent data.

- The Madinah opportunities in this report (serviced apartments, upper-midscale hotels, Quba Avenue destinations, KEC offices...) are listed as browsable, trackable opportunities.
- Filter by city, sector, capital and target yield.
- Direct contact with the Takamol team for due diligence and deal structuring.

realforssa.sa



Real Invest

Investment analysis and advisory tool

Takamol's automated analysis and feasibility tool: enter the land or asset data (location, area, use, cost) and receive an instant preliminary feasibility study — cash flows, IRR, payback period and sensitivity analysis — built on the same market indicators presented in this report.

IRR

Internal rate of return

NPV

Net present value

Payback

Payback period

Assess your Madinah project's feasibility with Real Invest

Sources, methodology and disclaimer

Official sources

Real Estate Registry and Ministry of Justice — transaction data (2026)

GASTAT — population, visitors, tourism spending

Real Estate General Authority (REGA) — laws and regulations

Saudi Central Bank (SAMA) — mortgage finance

ZATCA — RETT and white land tax

Madinah Region Development Authority and Municipality — projects and permits

Ministry of Tourism and Tourism Development Fund — facilities and licences

Ministry of Housing and NHC — residential supply

Market & benchmark sources

Madinah Chamber — June 2026 report

Announcements by Rua Al Madinah and KEC developers (Multaqa Al Madinah, Al Aliya)

Cenomi Centers and Saudi Downtown — Madinah Downtown project

JLL reports — sector yields and transparency index

Knight Frank reports — Premium Residency and governance

CBRE reports — foreign-ownership regime

Takamol field surveys of rents and occupancy 2026

Official open geographic district data (maps)

Methodological notes

Values in SAR · annual rates compared with the same period of 2025 · figures preceded by "about" or "circa" are estimates · percentage splits, monthly curves, yield models and office-grade occupancy are illustrative, built on the report's averages · KEC retail and office space figures combine both uses as announced by the developer · project locations on maps are approximate.

Disclaimer

This report is prepared for general informational and analytical purposes and does not constitute investment advice, an offer or a solicitation to invest in any asset. Takamol Advanced has relied on sources it believes to be reliable without guaranteeing their accuracy or completeness, and figures may change as official data is updated. Investors should conduct independent due diligence and obtain specialist advice before any decision. © Takamol Advanced 2026 — all rights reserved.



Thank you for your trust

This report is part of the Takamol Advanced series on the Saudi real estate market — Riyadh · Jeddah · Al-Qassim · Eastern Province · Makkah · Madinah · Dammam. For a detailed edition on a specific sector or corridor, or a feasibility study for your project in Madinah, get in touch.

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